ROYALTYOS / CONTRACT PARSING TEST SUITE

Priority Advance Recovery & Interest-Limited Royalty Agreement

A seniority waterfall with simple monthly interest, capped reserve, and post-recovery split reset.

SYNTHETIC TEST DOCUMENT

The parties, addresses, thresholds, balances, formulas, and payments in this document are fictional test data. This document is designed to exercise contract extraction and payout-calculation logic. It is not legal, tax, accounting, or investment advice and should not be signed or relied on as an operative agreement.

PARTIES AND CANONICAL ROLE KEYS

RoyaltyOS party key	Contract role	Payout email supplied in test screen
ARTIST	Artist	sb-chtub531737750@business.example.com
FEATURED_CREATOR	Featured Creator	sb-chtub531737750@business.example.com
MANAGER	Manager	sb-evnqd5317862@personal.example.com
PRODUCER	Producer	sb-evnqd5317862@personal.example.com

Document metadata	Value
Test ID	ROS-02
Calculation model	65% of available pool is available for sequential recovery; simple interest accrues on opening principal only.
Primary stress case	Interest and principal must be tracked separately; recovery pays interest before principal; excess recovery capacity remains royalty cash.
Currency / statement cadence	USD / monthly close unless a clause expressly defines a quarterly measurement window
Named recipients	Artist, Featured Creator, Manager, Producer only

Use each PDF as an independent contract scenario. Do not merge a balance, threshold counter, reserve ledger, or payout history from one PDF into another.

1. Scope and party identity

The same four canonical parties participate: ARTIST, FEATURED_CREATOR, MANAGER, and PRODUCER. Each party may receive both (i) repayment of a documented project credit listed in the Recovery Ledger and (ii) a separate royalty share. Those two payment types must be represented as separate ledger events. Payout emails are destinations only and are not unique party identifiers.

2. Gross-to-net calculation and reserve

For each monthly statement t, gross receipts G_t are cash actually collected. Permitted deductions D_t are actual platform/distribution/payment fees, transaction taxes remitted, refunds/chargebacks, and approved documented direct Project expenses. Direct Project expenses may not exceed 15% of G_t during the statement unless all four parties approve the excess in writing. The same cost may not be deducted twice.

Net receipts and cash available for the waterfall

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N_t = max(0, G_t - D_t)
H_t = min(0.15 * N_t, max(0, $40,000 - (ReserveBalance_open - U_t)))
P_t = N_t - H_t + U_t
RecoveryCapacity_t = 0.65 * P_t
R_t = min(RecoveryCapacity_t, TotalDebt_after_interest_t)
Q_t = P_t - R_t
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Each reserve cohort releases 50% at 90 calendar days and 50% at 180 calendar days, subject to an unresolved source-specific chargeback. The total held reserve may not exceed $40,000. U_t consists only of matured reserve cohorts; it is added to P_t and is not withheld again.

3. Recovery ledger and interest rules

Opening principal totals $55,000. Each account accrues simple interest at 0.50% per monthly statement on that account’s opening unpaid principal only. Interest does not itself earn interest. Each account’s cumulative interest is capped at 10% of that account’s original principal. A statement is allowed to accrue no more than one monthly interest increment per account.

Opening Recovery Ledger

Seniority	Credit owner	Opening principal	Monthly interest rate	Interest cap
1	Manager	$12,000	0.50% of opening principal	Up to $1,200 total
2	Producer	$20,000	0.50% of opening principal	Up to $2,000 total
3	Artist	$18,000	0.50% of opening principal	Up to $1,800 total
4	Featured Creator	$5,000	0.50% of opening principal	Up to $500 total
	TOTAL	$55,000	Simple, non-compounding	$5,500 aggregate cap

At the start of a statement, accrue the permitted interest increment on each open principal account. Apply R_t in seniority order: Manager, Producer, Artist, then Featured Creator. Within each account, pay accrued unpaid interest first and principal second. If an account is fully paid, move to the next account. A ledger balance is never negative. The statement’s royalty split state is determined by total debt immediately before current-statement interest accrual and recovery.

4. Royalty split states

Split matrix

Opening-state condition	Artist	Featured Creator	Manager	Producer
Total debt open > $0	35%	30%	15%	20%
Total debt = $0 and lifetime Q before statement < $500,000	44%	24%	12%	20%
Total debt = $0 and lifetime Q before statement >= $500,000	48%	22%	10%	20%

The lifetime Q counter increases by the current statement's Q_t after calculation. If debt clears during statement t, keep the debt-open split for statement t and apply the post-recovery split beginning with statement t+1. The $500,000 threshold is measured using cumulative Q from all prior statements.

5. Worked example including interest accrual

Example recovery calculation

Step	Calculation	Expected amount
Gross receipts	$80,000	$80,000.00
Deductions	$8,000	$8,000.00
Net receipts	$80,000 - $8,000	$72,000.00
New reserve	$72,000 x 15%	$10,800.00
Released reserve	Matured prior cohorts	$4,000.00
Available Pool	$72,000 - $10,800 + $4,000	$65,200.00
Monthly interest	12,000 x .5%; 20,000 x .5%; 18,000 x .5%; 5,000 x .5%	$60 + $100 + $90 + $25 = $275.00
Debt after interest	$55,000 principal + $275 interest	$55,275.00
Recovery amount	min(65% x $65,200, $55,275)	$42,380.00
Recovery order	Manager $12,060; Producer $20,100; Artist $10,220	$42,380.00 total
Closing debt	Artist $7,870; Featured Creator $5,025	$12,895.00
Royalty Pool	$65,200 - $42,380	$22,820.00

Separate royalty allocation

Royalty payee	Share while debt open	Royalty payment
Artist	35%	$7,987.00
Featured Creator	30%	$6,846.00
Manager	15%	$3,423.00
Producer	20%	$4,564.00
TOTAL	100%	$22,820.00

Model boundary
The $42,380.00 recovery payment is paid to credit owners and is not included in the $22,820.00 royalty split base. Royalty payments total exactly $22,820.00; remaining principal plus interest totals $12,895.00.

6. Refund adjustments and negative-balance guard

Because N_t is floored at zero, a statement cannot create a negative royalty pool. A refund or chargeback that relates to a previously paid statement is deducted when posted, but the deduction for any individual party may not exceed 25% of that party's otherwise payable royalty share in one statement. Unrecovered refund adjustments carry forward in an adjustment ledger and are not deducted from a credit owner's principal or accrued interest balance.

No cash recovery may be taken from a party's prior paid advance-repayment amount. The only offsets permitted by this clause are against future royalty shares, subject to the 25% per-statement cap. The adjustment ledger must retain the origin statement, chargeback date, amount, and remaining unapplied balance.

7. Statements and audit data

- Issue monthly statements within 15 calendar days after month-end; pay undisputed amounts within 10 business days after statement issuance.
- Each report must disclose opening principal, interest accrued this month, accumulated interest, interest cap remaining, each priority recovery payment, closing principal, closing interest, reserve cohorts, and Q counter.
- Amounts below $100 per person carry forward in that person's payable account and are not redistributed.
- An objection must be filed within 30 calendar days with specific rows and calculations. Corrections are recorded as adjustments in the next statement; previous split states are not reopened unless all four parties approve.

8. RoyaltyOS unit-test assertions

Assertions

Test	Expected assertion
Interest basis	Each monthly interest increment uses opening principal, not opening principal plus unpaid interest.
Interest cap	No account may accrue cumulative interest greater than 10% of its original principal.
Payment order	Manager balance must be cleared before Producer recovery begins; Producer before Artist; Artist before Featured Creator.
Recovery boundary	If TotalDebt_after_interest < 65% x P, R equals all remaining debt and Q equals P minus that debt.
Phase lock	If debt was open at statement opening but clears in the statement, apply 35/30/15/20 to that statement.
Split integrity	For every active split state, participant percentages sum to exactly 100%.

SIGNATURES / TEST FIXTURE ACKNOWLEDGMENT

The signature area exists to test extraction of named signatories and execution blocks. No signature is populated, and the conspicuous synthetic-test designation overrides any appearance of legal execution.

Canonical party key	Authorized signature	Date
ARTIST	_____	_____
FEATURED_CREATOR	_____	_____
MANAGER	_____	_____
PRODUCER	_____	_____